

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: September 8, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

**ORDER GRANTING JOINT MOTION FOR APPROVAL OF CONFIDENTIAL SETTLEMENT
AGREEMENT AND DISMISSAL OF THE AMENDED COMPLAINT WITH PREJUDICE**

On August 27, 2026, Complainant Samsung Electronics of America, Inc. (“SEA”) and Respondents, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) filed a Joint Motion for Approval of Confidential Settlement Agreement and Dismissal of the Amended Complaint With Prejudice (“Joint Motion”).

As discussed below, the Joint Motion is **GRANTED** and the Amended Complaint is **DISMISSED** with prejudice.

I. BACKGROUND

By way of background, SEA filed a Verified Amended Complaint (“VAC”) alleging that OOCL allegedly violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and (15), “by failing to perform and by delaying performance of inland transportation obligations on ‘store door’ shipments, and other acts and omissions that resulted in damages, such as unreasonable costs, demurrage and detention charges, and delay. Complainant sought approximately \$16,300,000 in reparations for those injuries.” (Joint Motion, at 2).

OOCL filed a counterclaim against SEA and a third-party complaint against Samsung Electronics Company, Ltd (“SEC”). The counterclaim and third-party complaint were both eventually dismissed. (*See* Order Granting Complainant’s Motion to Dismiss Respondents’

Amended Counterclaim and Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint). Both SEA and SEC filed petitions for attorney's fees, which I denied. (*See* Order Denying Third-Party Respondent's Petition for an Award of Attorneys' Fees, Denying Complainant's Petition for Attorneys' Fees, and Denying Complainant's Motion to Supplement Its Petition for Attorney Fees (the "March 20 Order")). SEA and SEC both filed exceptions to my March 20 Order.

On July 20, 2026, SEA and OOCL filed a Joint Motion for Approval of Confidential Settlement Agreement and Mutual Release ("July 20 Motion"), along with a settlement agreement. On August 18, 2026, I issued an Order Granting In Part and Denying In Part Joint Motion for Approval of Confidential Settlement Agreement and Mutual Release and Granting Certificate of Interlocutory Appeal (the "August 18 Order"). In the August 18 Order, I granted the July 20 Motion to the extent it sought to keep the settlement agreement confidential. (August 18 Order, at 5). I, however, otherwise denied the July 20 Motion because it purported to settle SEC's appeal even though SEC was not a party to the settlement agreement. It was also unclear if I had authority to approve of the settlement agreement to the extent it purported to settle those portions of the matter pending before the Commission. (August 18 Order, at 4).

After I issued the August 18 Order, SEA and SEC withdrew their respective appeals of my March 20 Order on August 26, 2026. (*See* SEC's Notice Withdrawing Appeal of the Order Denying Its Petition for an Award of Attorneys' Fees; SEA's Notice Withdrawing Appeal of the Order Denying its Petition for an Award of Attorneys' Fees). In addition, SEC filed Notice of Concurrence in Settlement Agreement on August 27, 2026, indicating it was aware of and engaged in the settlement negotiations, and agreed to be bound by the settlement agreement.

II. APPROVAL OF SETTLEMENT AGREEMENT

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where "time, the nature of the proceeding, and the public interest permit." (46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c)). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." (46 C.F.R. § 502.72(a)(3)). "Unless the order states otherwise, a dismissal under this paragraph is without prejudice." (46 C.F.R. § 502.72(a)(3)).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." (*Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)); *see also* *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981)).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it

their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

(*Old Ben Coal*, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976))).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” (*Old Ben Coal*, 18 S.R.R. at 1092). However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” (*Old Ben Coal*, 18 S.R.R. at 1093). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” (*Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted)).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” (*APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004))).

In the Joint Motion, the parties state:

In this action, the Parties, both sophisticated corporate entities, with the advice and assistance of their respective counsel, jointly engaged James Kleiner, an experienced mediator, to facilitate settlement discussions and arrived at the Agreement through arm’s length negotiations and support this joint motion along with the relief that it seeks. The Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for continued costly and uncertain litigation and resolves all outstanding matters relating to this proceeding.

(Joint Motion, at 4).

Based on the representations in the Joint Motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions with a mediator. The proceeding would require potentially expensive additional discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, I approve of the settlement agreement.

Nothing causes me to reconsider my previous order that the settlement agreement should be kept confidential.

Therefore, it is **ORDERED** that the Joint Motion is **GRANTED**. It is

FURTHER ORDERED that request for dismissal with prejudice is **GRANTED**.

Richard C.
Ambrow Jr -S

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Richard Ambrow
Administrative Law Judge